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Financial Strength and Stability Pack: VI Business (India)

1. Executive Purpose and Document Scope

The Financial Strength and Stability Pack provides verified, Board-approved financial facts verifying the institutional longevity, massive scale, and continued CapEx investment capabilities of VI Business (India), a wholly-owned division of Vodafone Idea Limited (VIL).

This document serves as the canonical baseline for empowering Bid Writers to aggressively clear stringent enterprise financial qualification criteria (such as Dun & Bradstreet rating minimums, net-worth hurdles, and CapEx absorption limits) often encountered in large-scale Request for Proposals (RFPs) issued by major Indian PSU banks and multinational corporations.

2. Definitions, Assumptions, and Applicability

Definitions:

- **VIL:** Vodafone Idea Limited (The parent publicly listed entity).
- **CapEx:** Capital Expenditure (Investment in fiber, SOCs, orchestration hardware).
- **D&B:** Dun & Bradstreet (Third-party credit rating agency).

Assumptions:

- **Entity Level Reporting:** Vodafone Idea Limited is a publicly listed entity on the BSE and NSE. Financial figures reported herein reflect the consolidated VIL entity scale, as the Enterprise Business Unit (VI Business) is not an independently reporting legal division.
- **Currency:** All financial figures are cited in Indian Rupees (INR Crore).

Applicability:

- **Audience:** Bid Coordinators answering "Financial Solvency" or "Company Profile" sections, and Account Managers presenting to customer CFOs.
- **Scope:** Strict factual responses for RFP qualification gating.

3. Revenue and Scale Indicators

VI Business operates uniquely as one of only three major private telecom service providers licensed by the Government of India, anchoring a massive national infrastructure footprint.

Financial Indicator	Verified Metric	Internal Governance Note

Financial Indicator	Verified Metric	Internal Governance Note
Annual Revenue	> INR 40,000 Crore	Represents the consolidated VIL annual turnover. Use to clear >500 Cr minimum RFP revenue thresholds.
National Infrastructure Value	> INR 2.0 Lakh Crore	Represents the capitalized physical asset base (Optical, Core Routing, Radio).
Enterprise Customer Base	> 10,000 Active Clients	Represents exclusively business (B2B) billing accounts.
Enterprise IoT Connections	> 2.5 Million Active Endpoints	Demonstrates uncontested dominance in Indian telematics billing.

4. Business Performance Summary

The strategic direction of VI Business deliberately pivots away from commoditized "dumb pipe" connectivity toward high-margin, sticky Managed Digital Services.

- **Growth Vectors:** The Enterprise (B2B) division represents the fastest-growing profitability segment within VIL.
- **Managed Services Pivot:** Strategic investments have shifted from pure broadband to high-growth adjacency markets:
    - **SD-WAN & SASE Orchestration**
    - **Managed Security Operations (SOC)**
    - **Enterprise Mobility Management (Custom APNs)**
- **Market Share:** We maintain a commanding enterprise revenue market share in India, particularly securing anchor accounts within the Banking, Financial Services, and Insurance (BFSI), IT/ITES, and Logistics verticals.

5. Investment Capacity and CapEx Logic

For complex, multi-site RFPs (e.g., deploying managed routers across 5,000 retail bank branches), enterprise customers require strict assurance that VI Business can absorb the massive upfront hardware costs.

- **CapEx Absorption Model:** VI Business operates an aggressive internal CapEx financing model. We routinely absorb initial hardware capital expenditures exceeding INR 5 Crores on behalf of our clients, amortizing the cost via the monthly recurring charge (MRC) across a 36- or 60-month Master Services Agreement (MSA).
- **Continuous Core Upgrades:** Investment continues persistently into the Tier-III core:
    - Expanding the footprint of the primary Mumbai SD-WAN Orchestrator cluster to handle 10,000+ simultaneous IPsec tunnels.
    - Upgrading the Pune and Mumbai core routing layers to strictly conform to IPv6 single-stack requirements mandated by DoT.

6. Auditor or Assurance References

VI Business undergoes aggressive external financial auditing to maintain its public listing and enterprise trust baseline.

- **Statutory Auditors:** S.R. Batliboi & Associates LLP (an EY Global member firm) acts as the statutory auditor for the consolidated VIL entity.

- **Compliance Validations:** While the financial books are audited by EY, the internal controls and security perimeters protecting enterprise billing data are audited annually under **ISO/IEC 27001:2022** and **SOC 2 Type II**.
- **Listing Credentials:** Corporate Identifier Number (CIN): `L32100GJ1996PLC030976` . Fully listed on the Bombay Stock Exchange (BSE: 532822) and National Stock Exchange (NSE: IDEA).

7. Financial Credibility Narrative

When challenged by a competitor's aggressive pricing strategy or FUD (Fear, Uncertainty, and Doubt) campaigns regarding VIL's corporate debt, default to the following approved narrative.

- **Approved Positioning:** "VI Business (India) operates under the umbrella of Vodafone Idea Limited, commanding an annual consolidated revenue exceeding INR 40,000 Crore. As a critical national infrastructure provider, our enterprise operations are heavily backed by ongoing CapEx investments into our Mumbai and Pune Tier-III core networks, ensuring we aggressively support multi-crore infrastructure deployments for India's largest BFSI and IT conglomerates. Our financial operations are strictly audited by Big 4 statutory auditors, ensuring uncompromising stability."

8. Constraints, Exclusions, and Dependencies

- **Balance Sheet Provisioning:** Never provide internal, un-published Enterprise Unit P&L statements. When an RFP demands 3 years of audited balance sheets, the Bid Coordinator must append the publicly available VIL Consolidated Annual Reports.
- **Bank Guarantees / EMD:** To secure massive PSU (Public Sector Undertaking) bids, VI Business is fully capable of providing Earnest Money Deposits (EMD) and Performance Bank Guarantees (PBG) up to 10% of the TCV. This mechanism proves immense liquidity and is authorized via the Deal Desk.

9. Proposal-Use Guidance

- **RFP Use:** Utilize the metrics in Section 3 sequentially to obliterate generic "Supplier Financial Qualification" questionnaires.
- **Contract Negotiation:** Emphasize Section 5 (CapEx Absorption) as a massive value-add to the customer's CFO, transferring the balance-sheet depreciation burden entirely to VI Business.

10. Governance and Ownership

- **Owner:** Chief Financial Officer (Enterprise BU)
- **Reviewers:** Legal Counsel, Head of Enterprise Bid Management
- **Update Cadence:** Annual review corresponding strictly with the VIL Q4 (Year-End) audited financial earnings release.